Manugraph India (MANUGRAPH) — Research Note

Date: 2026-05-02 **CMP:** ₹14.0 | **Mkt Cap:** ₹42.6 Cr | **52w:** ₹9.25 / ₹25.7 **P/E:** N/M (loss-making) | **P/B:** 0.43x | **Book Value:** ₹32.6 **ROE:** -17.5% (FY) / -14% (3y avg) | **ROCE:** -12.5% **Promoter Holding:** 57.67% (stable 8+ quarters) | **Debt:** ₹11 Cr | **Dividend:** Nil

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1. Snapshot

Manugraph trades at less than half of book value, has been loss-making for most of the last decade, and operates in an industry — single-width web offset printing presses for newspapers — that has been in structural decline globally for the better part of two decades. Annual revenue collapsed from ₹446 Cr in FY12 to ₹30 Cr by FY21, an 93% destruction over nine years before showing the first signs of stabilising. The Q3 FY26 (December 2025) print delivered the first quarterly profit in years, DIIs have nudged their stake up from 0.77% to 1.83%, and the working capital cycle has unwound from a 1,033-day bloat in FY21 to 384 days in FY23. Whether this is a real turn or just a base effect off a near-zero quarter is the central question, and at ₹42 Cr market cap the answer matters in either direction.

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2. Business and diversification history

Manugraph makes printing presses — Smartline, Dreamline, Ecoline — for newspaper and commercial printing. Founded in 1971, it was once the largest manufacturer of web offset presses in India and still has a global footprint, with installations across Africa, Asia and Latin America. The structural problem is that newspapers have been losing readership and ad revenue to digital platforms for two decades, which keeps shrinking the addressable market for new newspaper presses. To understand the company today, you have to understand the three diversification moves it has made over the last twenty years — one of which broke badly and explains a lot of the balance sheet damage.

The 2006 US acquisition that failed. In November 2006 Manugraph took 100% of Dauphin Graphic Machines (DGM), a Pennsylvania-based web press manufacturer, and renamed it

Manugraph Americas. This was meant to be the global expansion play — buy a US manufacturer, leverage Indian cost structure, sell into the developed world. The thesis didn't survive the shift in newspaper economics. The North American newspaper market collapsed faster than the Indian one, the West Coast facility was closed and consolidated back to Pennsylvania, and on June 1, 2017, Manugraph Americas filed for Chapter 11 bankruptcy protection. That's almost certainly what shows up in the FY17 P&L as a ₹35 Cr net loss with ₹-24 Cr of "other income" — the impairment of the US subsidiary. The damage from that single acquisition is still visible in the reserves drawdown a decade later.

The 2017-18 packaging pivot via Carraro. In the same year DGM went bankrupt, Manugraph entered a strategic technology-transfer alliance with Italy's Carraro Srl to build CI (Central Impression) flexo presses in India for food packaging — a structurally growing market unlike newspapers. Carraro provides drawings, know-how and training; Manugraph builds locally. The first India-made CI flexo press was launched at IndiaPlast 2019. Seven years on, packaging is still a slice of revenue rather than a transformation. The company doesn't disclose segment-level revenue cleanly, which itself suggests the packaging share isn't yet at a scale where it would change the consolidated story. But it's not nothing — it explains why core operations haven't been shut down, and it's the only growth narrative the company has.

Engineering components. Officially the company reports operations under a single "Engineering segment." Alongside printing presses they make engineering components, which is a small unbranded business that doesn't materially change the picture. It's worth noting only because it explains why the segment classification looks broader than the press-only revenue would suggest.

The shareholders are a known quantity: promoters at 57.67% (completely flat across the last eight quarters), DIIs barely visible at 1.83% (up from 0.77% in mid-2023, a small but directional shift), no FII presence to speak of, retail filling the rest across roughly 12,700 shareholders.

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3. The decade-long wreck — what the numbers show

Annual P&L (Rs Cr)

Year	Sales	OP	OPM%	Other Inc	Net Profit	EPS (₹)
FY14	306	9	3%	-6	-8	-2.64
FY15	259	-5	-2%	6	-10	-3.26

Year	Sales	OP	OPM%	Other Inc	Net Profit	EPS (₹)
FY16	316	13	4%	3	6	2.10
FY17	258	-3	-1%	-24	-35	-11.63
FY18	185	-15	-8%	10	-14	-4.69
FY19	251	-14	-6%	3	-16	-5.37
FY20	121	-30	-25%	0	-35	-11.61
FY21	30	-16	-53%	-8	-29	-9.44
FY22	46	-13	-28%	2	-14	-4.59
FY23	80	-15	-19%	8	-11	-3.63

The story this table tells is bleak. There has been one profitable year in the last decade (FY16, ₹6 Cr), and the cumulative bottom-line loss across the period is north of ₹160 Cr. Operating margins have been negative for seven of the last eight years, and the FY21 collapse to ₹30 Cr of revenue — likely a combination of pandemic shock and order cancellations as newspaper demand fell — wasn't an anomaly so much as the floor of a long slide.

Balance sheet — what's been eaten

Year	Reserves	Borrowings	Investments	Other Assets	Total Liab
FY14	199	15	36	223	323
FY17	218	7	60	132	313
FY20	146	9	0	131	227
FY23	93	11	0	82	172

Reserves have been halved over the decade, from ₹199 Cr to ₹93 Cr, almost entirely eaten by accumulated losses. Investments — the treasury cushion — went from ₹36 Cr in FY14 to zero by FY20, which is when the company started running out of options. Other assets (largely working capital) have been drawn down from ₹223 Cr to ₹82 Cr. What's not deteriorating is debt: borrowings stayed in the ₹7-19 Cr range throughout, so management resisted the temptation to lever up to keep the lights on. That discipline is the only reason the equity story isn't a zero today.

Cash flow — the survival pattern

CFO has been negative or near-zero in eight of the last ten years. CFI has been mostly positive — the company has been selling investments and unwinding inventory to fund operations. CFF has been negative most years as the small debt that did exist was paid down. In simple terms, the company has been liquidating its own balance sheet to stay alive while running operating losses. That's not a sustainable strategy, but it has bought time, and time is what the diversification needs.

Working capital — the inventory bloat

Inventory days went from 189 in FY14 to 1,033 in FY21 — three years of inventory sitting on the balance sheet. By FY23 it had compressed back to 384, which is meaningful progress but still extraordinarily high. The cash conversion cycle followed the same path: 154 days in FY14, peak of 901 in FY21, back to 251 in FY23. The working capital normalisation is part of why CFI has been positive — they've been monetising stuck inventory, not generating cash from operations.

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4. Recent results — the turnaround signal

The Q3 FY26 print (December 2025) delivered ₹17.68 Cr of revenue and ₹2.18 Cr of consolidated profit, against a ₹4.55 Cr loss in the year-ago quarter. (The standalone number is smaller at ₹0.44 Cr — the gap reflects subsidiary contribution.) This is the first quarter of meaningful profit in years. Revenue at ₹17.68 Cr is broadly in line with the FY23 quarterly run-rate, so the turnaround is being driven by margin recovery rather than a volume jump.

Working capital days have improved from 188 to 93 over recent quarters, which suggests the inventory cleanout is continuing. TTM sales growth is +73% off a low base, and operating margin has flipped positive on a quarterly basis for the first time since pre-pandemic.

Two things to be careful about. The Q3 FY26 number is one data point, and Manugraph has had positive surprise quarters before — Q3 FY23 showed near-zero PBT helped by ₹7.79 Cr of other income, which then gave way to losses again. The print press business is also seasonal, with Q4 typically the strongest and Q1/Q2 the weakest. So this needs to be sustained for two-three more quarters before it counts as a real turn.

The DII shareholding tick from 0.77% in Jun 2023 to 1.83% in Sep 2024 is a small but interesting signal — at this market cap, even small institutional accumulation moves the needle,

and it's the first directional change in years. Whether they're early or wrong remains to be seen.

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5. The asset value question

The case for owning Manugraph at ₹14 isn't about earnings — there are barely any — it's about what the assets are worth. Book value is ₹32.6, so at 0.43x P/B the market is saying the assets on the balance sheet are worth less than half of what's reported. Some of that scepticism is justified. Inventory days at 384 — even after improving from 1,033 — could mean genuine work-in-progress (printing presses take months to build) or it could mean obsolete stock that won't realise anywhere near book value. The annual report's inventory ageing schedule is what would tell you which, and that needs a closer read.

What is clear: debt is small at ₹11 Cr, so there's no bankruptcy risk in any normal scenario, and the company has demonstrated for a decade that it can run losses without overlevering. Promoters at 57.67% with no dividend means whatever value sits in the company stays in the company. Fixed assets have stayed roughly stable at ₹90 Cr through the decade — those plant and machinery values, even haircut for a distressed sale, give you a hard floor that's well above the current market cap.

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6. What worries me

The structural problem is the industry. Newspaper print runs are still falling globally, and even the diversification into flexographic packaging puts Manugraph against larger and better-capitalised competitors. A turnaround in a shrinking pond is harder than a turnaround in a stable one — even if you stop the bleeding, the pond keeps getting smaller, so you have to keep finding new water. Seven years into the Carraro partnership the packaging business is still small enough that nobody discloses its segment revenue cleanly, which suggests it isn't yet at a scale where it would change the company's destiny.

The inventory question is the second concern. ₹82 Cr of "other assets" against a market cap of ₹42 Cr means the entire investment thesis depends on what those inventories and receivables actually realise. If half of that 384-day inventory is obsolete newspaper press components built for orders that were cancelled in FY20-21, the book value is overstated by 30-40% and the P/B floor isn't where you think it is.

The third concern is liquidity. At ₹42 Cr market cap with roughly 12,700 shareholders, this is a deeply illiquid micro-cap. Even small buying moves the price, and exit becomes a problem if the thesis breaks or you need cash. For practical purposes this isn't ownable in any meaningful size — it's a half-percent speculative position at most, not a portfolio holding.

The fourth concern is information quality. There is essentially no analyst coverage, management commentary is sparse, the segment breakup of the packaging business isn't disclosed cleanly, and the most recent annual report needs a careful read to verify what the FY24 and FY25 revenue actually was — Screener still leans heavily on FY23 numbers. You're flying with thin data.

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7. Valuation

There are essentially two ways to think about value here. The first is asset-based: book value ₹32.6, applying a 50% haircut for inventory uncertainty gets you to roughly ₹16, already above CMP. Applying no haircut gets you to ₹32. This is the floor logic, and it's the only argument I'd actually rest weight on at this market cap.

The second is earnings-normalised: if the company can sustain ₹5-10 Cr of annual profit (consistent with a clean Q3 FY26 if extrapolated to four quarters net of seasonality), a 10-12x multiple gives you a market cap of ₹50-120 Cr, or ₹16-40 per share. The wide range reflects how much depends on whether the turn holds for two-three more quarters. The third, more speculative case is a return to even FY16-style profitability (₹6 Cr on ₹316 Cr revenue), which would put the company in a different valuation zone entirely — but that requires the diversification to actually scale.

So the implicit floor is somewhere in the ₹15-20 zone, the base case if the turn holds is ₹25-35, and a genuine multi-year recovery to historical revenue could be ₹50+. Downside from ₹14 is real but probably 20-30%, upside if even one of the better scenarios plays out is 50-200%. The asymmetry is interesting; the conviction is not.

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8. Verdict

This is a speculative deep-value ticket, not an investment. The asset-based logic gives you a reasonable floor, the December 2025 quarter is the first concrete sign of stabilisation in years, the promoter still owns the majority, and DII accumulation has just turned positive after years of

decline — those four things are what keep it from being a clear avoid. Set against that is an industry that has been shrinking for twenty years, an inventory line that could be hiding obsolete stock, a market cap small enough that liquidity is a structural problem, and a diversification story that is seven years old and still hasn't moved the needle.

If you want to own this, own a token amount — half a percent of portfolio at most — and treat it as a 24-month wait. What would change my view: two more quarters of clean profitability without one-time items, a clear management statement on what the packaging revenue mix actually is, the FY26 annual report showing inventory ageing that supports the book value, and any sign that DII accumulation is continuing rather than stopping at 1.83%. Until those land, this is interesting to watch but not buy with conviction.

Sources

- Screener.in — Manugraph
- Business Standard — Manugraph live price
- Trendlyne — Quarterly financials
- The Packman — Manugraph CI flexo press launch
- Trendlyne — Shareholding pattern